

principal tavern was usually selected as the “show-place,” where high and low traded in tulips and confirmed their bargains over sumptuous entertainments. These dinners were sometimes attended by two or three hundred persons, and large vases of tulips, in full bloom, were placed at regular intervals upon the tables and sideboards for their gratification during the repast.

It was wonderful; never in their history had the Dutch seemed so favored. In keeping with the immutable rules governing such episodes, each upsurge in prices persuaded more speculators to participate. This justified the hopes of those already participating, paving the way for yet further action and increase, and so assuring yet more and ever-continued enrichment. Money was borrowed for purchase; the small bulbs leveraged large loans.

In 1637 came the end. Again the controlling rules were in command. The wise and the nervous began to detach, no one knows for what reason; others saw them go; the rush to sell became a panic; the prices dropped as if over a precipice. Those who had purchased, many by pledging property for credit—here the leverage—were suddenly bereft or bankrupt. “Substantial merchants were reduced almost to beggary, and many a representative of a noble line saw the fortunes of his house ruined beyond redemption,” according to Mackay.

In the aftermath, the bitterness, recrimination, and search for scapegoats—all normal—were extreme, as was the avoidance of mention of the mass mania that was the true cause. Those who had contracted to buy at the enormously inflated prices defaulted en masse. Angry sellers sought enforcement of their contracts of sale; the courts, identifying it as a gambling operation, were unhelpful. Not less than with the failing banks and savings and loan associations in recent times, the state then emerged as the recourse of last resort. Alas, the only remedy would have been to restore the price of the bulbs to the pre-crash level, but this was manifestly impractical, and so the so recently rich were left with their loss.

Nor were they alone in misfortune. The collapse of the tulip prices and the resulting impoverishment had a chilling effect on Dutch economic life in the years that followed—there ensued, in modern terminology, an appreciable depression. There was one mitigating result: the cultivation of